

FEDERAL MARITIME COMMISSION

Docket Nos. 17-09

FIAT CHRYSLER AUTOMOBILES NV, FCA US LLC, AND FCA ITALY S.P.A.

v.

**WALLENIOUS WILHELMSSEN LOGISTICS AS, WALLENIOUS WILHELMSSEN
LOGISTICS AMERICAS LLC, EUKOR CAR CARRIERS INC.,
NIPPON YUSEN KABUSHIKI KAISHA, NYK LINE (NORTH AMERICA) INC.,
MITSUI O.S.K. LINES, LTD., MOL (AMERICA) INC.,
KAWASAKI KISEN KAISHA, LTD., "K" LINE AMERICA, INC.,
COMPAÑÍA SUD AMERICAN DE VAPORES S.A., AND HOEGH AUTOLINERS AS**

**ANSWER OF RESPONDENT HOEGH AUTOLINERS AS
TO THE VERIFIED COMPLAINT**

Respondent Höegh Autoliners AS ("Höegh"), by and through its undersigned counsel, hereby answers the Verified Complaint of Fiat Chrysler Automobiles NV, FCA US LLC, and FCA Italy S.p.A. (collectively, "Complainants") as follows.

INTRODUCTION

1. Denies. The allegations in Paragraph 1 constitute legal conclusions to which no response is required. On November 30, 2017, answering Respondents and others filed their supplemental consolidated motion to dismiss the Complaint filed by Complainants ("FCA Complaint"). On May 7, 2018, Administrative Law Judge Wirth issued an initial decision granting in part and denying in part the supplemental consolidated motion to dismiss the FCA Complaint. The initial decision determined that "the statute of limitations bars reparations, except for violations that Fiat can establish in Docket 17-09 that occurred within the limitations period." Init. Dec. at 2.

The FCA Complaint was filed on October 6, 2017. As a result, Complainants are limited to seeking relief in the form of reparations for violations of the Shipping Act that occurred within three years of filing the Complaint. Therefore, this Answer addresses the allegations made by Complainant in the context of events occurring after October 6, 2014 through October 6, 2017, the date the FCA Complaint was filed.

2. Denies with respect to the period identified in the answer to paragraph 1 above. With respect to the period from 2001 to 2012, the September 26, 2017 plea agreement between Höegh and the Department of Justice (“Plea Agreement”) speaks for itself.

3. The Shipping Act speaks for itself as to the first sentence. Höegh denies the second and third sentences.

4. Denies. The allegations of this paragraph 4 constitute conclusions of law to what no answer is required or given. To the extent this paragraph 4 alleges facts, the same are denied and strict proof thereof is demanded at trial, if relevant.

THE PARTIES

5. Höegh lacks sufficient information or knowledge to admit or deny.
6. Höegh lacks sufficient information or knowledge to admit or deny.
7. Höegh lacks sufficient information or knowledge to admit or deny.
8. Höegh lacks sufficient information or knowledge to admit or deny.
9. Höegh lacks sufficient information or knowledge to admit or deny.
10. Höegh lacks sufficient information or knowledge to admit or deny.
11. Höegh lacks sufficient information or knowledge to admit or deny.
12. Höegh lacks sufficient information or knowledge to admit or deny.

13. Admits, but Höegh clarifies that the headquarters of Höegh Autoliners, Inc. (“Höegh America”) is 2615 Port Industrial Drive, Suite 405 Jacksonville, Fla. 32226.

JURISDICTION AND VENUE

14. To the extent that the allegations in Paragraph 14 constitute legal conclusions, no response is required. To the extent that a response is required, Höegh denies the allegations in Paragraph 14.

15. To the extent that the allegations in Paragraph 15 constitute legal conclusions, no response is required. To the extent that a response is required, Höegh denies the allegations in Paragraph 15.

16. Höegh admits that it is a “common carrier” and “ocean common carrier” as defined in the Shipping Act, 46 U.S.C. §§ 40102(6), 40102(17). Höegh admits parts (1), (2), and (5) of the second sentence. Part (3) of the second sentence is a legal conclusion which requires no response. Höegh denies part (4) of the second sentence.

BACKGROUND AND ALLEGATIONS OF FACT

Roll On, Roll Off Cargo: Transportation of Wheeled Freight

17. Höegh admits that it transports roll on, roll off cargo but lacks sufficient information or knowledge to admit or deny the allegations in the second and third sentences.

18. Höegh lacks sufficient information or knowledge to admit or deny.

Respondents and their Co-Conspirators’ Illegal, Anti-Competitive Conduct

19. Denies the allegations related to Höegh. Höegh lacks sufficient information or knowledge to admit or deny in regards to all other Respondents.

20. Höegh admits that it entered into a plea agreement with the Department of Justice on September 26, 2017 to pay a fine of \$21 million with respect to activity between 2001 and 2012,

but lacks sufficient information or knowledge to admit or deny in regards to all other Respondents.

21. Denies the allegations as to Höegh. Höegh lacks sufficient information or knowledge to admit or deny in regards to all other Respondents.

22. The Plea Agreement speaks for itself as to the allegation in Paragraph 22 insofar as said allegation relates to Höegh. Höegh lacks sufficient information or knowledge to admit or deny in regards to all other Respondents.

23. Höegh lacks sufficient information or knowledge to admit or deny the allegations related to Complainants' purchasing history or alleged co-conspirator activity. Höegh admits that it has entered into service contracts with Complainant for the provision of roll on, roll off cargo services. Höegh denies the remaining allegations in Paragraph 23.

24. To the extent that the allegations in Paragraph 24 constitute legal conclusions, no response is required. To the extent that a response is required, Höegh denies the allegations in Paragraph 24.

25. To the extent that the allegations in Paragraph 25 constitute legal conclusions, no response is required. To the extent that a response is required, Höegh denies.

26. To the extent that the allegations in Paragraph 26 constitute legal conclusions, no response is required. To the extent that a response is required, Höegh denies.

27. To the extent that the allegations in Paragraph 27 constitute legal conclusions, no response is required. To the extent that a response is required, Höegh denies.

28. To the extent that the allegations in Paragraph 28 constitute legal conclusions, no response is required. To the extent that a response is required, Höegh denies.

29. To the extent that the allegations in Paragraph 29 constitute legal conclusions, no response is required. To the extent that a response is required, Höegh denies.

30. To the extent that the allegations in Paragraph 30 constitute legal conclusions, no response is required. To the extent that a response is required, Höegh denies.

31. To the extent that the allegations in Paragraph 31 constitute legal conclusions, no response is required. To the extent that a response is required, Höegh denies.

Respondents Have Admitted to Entering Into Secret, Unfiled Agreements

32. To the extent that the allegations in Paragraph 32 constitute legal conclusions, no response is required. To the extent that a response is required, Höegh denies the allegations in Paragraph 32. And, answering further, notes that the Plea Agreement speaks for itself with respect to the period from 2001 to 2012.

33. Höegh lacks sufficient information or knowledge to admit or deny.

34. Höegh lacks sufficient information or knowledge to admit or deny.

35. Höegh lacks sufficient information or knowledge to admit or deny.

36. Höegh lacks sufficient information or knowledge to admit or deny.

37. Höegh admits that it entered into a Plea Agreement dated September 26, 2017. That Plea Agreement speaks for itself in regards to the allegations in Paragraph 37.

38. Höegh lacks sufficient information or knowledge to admit or deny.

39. Denies, and by way of further answer, notes that the Federal Maritime Commission lacks the authority to approve, modify, or amend the rates charged by ocean common carriers.

FCA Purchased Roll On, Roll Off Cargo Transport Services for Prices Made in Accordance with Unfiled Agreements and Continues to Pay Those Prices

40. Höegh admits that Complainants, or their predecessors, have purchased roll on, roll of cargo transport services at various times from Höegh since at least 2001. Höegh lacks sufficient

information or knowledge to admit or deny what Complainants or their predecessors have or have not purchased from other Respondents. Höegh lacks sufficient information or knowledge to admit or deny the allegations in the second and third sentences of Paragraph 40.

41. Höegh lacks sufficient information or knowledge to admit or deny the allegations in the first sentence. Höegh admits to receiving payments from Complainants for the transportation of roll-on, roll-off cargo shipments. Höegh lacks sufficient information or knowledge to admit or deny the allegations regarding payments from Complainants to other Respondents.

Höegh Concealed Their Secret, Unfiled Agreements and Continue to Violate the Shipping Act

42. To the extent that the allegations in Paragraph 42 constitute legal conclusions, no response is required. To the extent that a response is required, Höegh denies the allegations in Paragraph 42.

43. To the extent that the allegations in Paragraph 43 constitute legal conclusions, no response is required. To the extent that a response is required, Höegh denies the allegations in Paragraph 43.

44. To the extent that the allegations in Paragraph 44 constitute legal conclusions, no response is required. To the extent that a response is required, Höegh denies.

45. To the extent that the allegations in Paragraph 45 constitute legal conclusions, no response is required. To the extent that a response is required, Höegh denies

46. Höegh lacks sufficient information or knowledge to admit or deny the allegations related to Complainants' beliefs and purchasing process. Höegh denies the remaining allegations of Paragraph 46.

47. To the extent that the allegations in Paragraph 47 constitute legal conclusions, no response is required. To the extent that a response is required, Höegh denies.

CAUSES OF ACTIONS

Count I: Violations of 46 U.S.C. § 40302(a)

48. Höegh repeats and reiterates each and every admission, denial, and denial of knowledge or information made in response to the allegations in Paragraphs 1 through 47 of the Complaint as if the same were set forth at length here.

49. To the extent that the allegations in Paragraph 49 constitute legal conclusions, no response is required. To the extent that a response is required, Höegh denies.

50. To the extent that the allegations in Paragraph 50 constitute legal conclusions, no response is required. To the extent that a response is required, Höegh denies.

51. To the extent that the allegations in Paragraph 51 constitute legal conclusions, no response is required. To the extent that a response is required, Höegh denies the allegations in Paragraph 51.

52. To the extent that the allegations in Paragraph 52 constitute legal conclusions, no response is required. To the extent that a response is required, Höegh denies the allegations in Paragraph 52.

Count II: Violations of 46 U.S.C. § 41102(b)

53. Höegh repeats and reiterates each and every admission, denial, and denial of knowledge or information made in response to the allegations in Paragraphs 1 through 52 of the Complaint as if the same were set forth at length here.

54. To the extent that the allegations in Paragraph 54 constitute legal conclusions, no response is required. To the extent that a response is required, Höegh denies the allegations in Paragraph 54.

Count III: Violations of 46 U.S.C. § 41102(c)

55. Höegh repeats and reiterates each and every admission, denial, and denial of knowledge or information made in response to the allegations in Paragraphs 1 through 54 of the Complaint as if the same were set forth at length here.

56. To the extent that the allegations in Paragraph 56 constitute legal conclusions, no response is required. To the extent that a response is required, Höegh denies the allegations in Paragraph 56.

Count IV: Violations of 46 U.S.C. § 41103(a)

57. Höegh repeats and reiterates each and every admission, denial, and denial of knowledge or information made in response to the allegations in Paragraphs 1 through 56 of the Complaint as if the same were set forth at length here.

58. Denies as to Höegh. Höegh lacks sufficient information or knowledge to admit or deny as to other Respondents.

59. To the extent that the allegations in Paragraph 59 constitute legal conclusions, no response is required. To the extent that a response is required, Höegh denies.

Count V: Violations of 46 U.S.C. § 41104(10)

60. Höegh repeats and reiterates each and every admission, denial, and denial of knowledge or information made in response to the allegations in Paragraphs 1 through 59 of the Complaint as if the same were set forth at length here.

61. Denies. The allegations in Paragraph 61 constitute legal conclusions to which no response is required.

Count VI: Violations of 46 U.S.C. 41105

62. Höegh repeats and reiterates each and every admission, denial, and denial of knowledge or information made in response to the allegations in Paragraphs 1 through 61 of the Complaint as if the same were set forth at length here.

63. To the extent that the allegation in Paragraph 63 constitutes a legal conclusion, no response is required. To the extent that a response is required, Höegh denies that collectively Respondents constitute a conference. Höegh admits that, to the extent Respondents are common carriers, two or more of them would constitute “a group of two or more common carriers.”

64. To the extent that the allegations in Paragraph 64 constitute legal conclusions, no response is required. To the extent that a response is required, Höegh denies the allegations in Paragraph 64.

Count VII: Violations of 46 C.F.R. § 535.401 *et seq.*

65. Höegh repeats and reiterates each and every admission, denial, and denial of knowledge or information made in response to the allegations in Paragraphs 1 through 64 of the Complaint as if the same were set forth at length here.

66. To the extent that the allegations in Paragraph 66 constitute legal conclusions, no response is required. To the extent that a response is required, Höegh denies the allegations in Paragraph 66.

INJURY TO FCA

67. Denies. To the extent that the allegations in Paragraph 67 constitute legal conclusions, no response is required.

AFFIRMATIVE DEFENSES

1. Complainants have failed to state a claim upon which relief can be granted.
2. Complainants lack standing.
3. Complainants did not suffer any actual injury for which reparations are the appropriate remedy.
4. Complainants fail to demonstrate causation for their alleged injury.
5. Complainants' claims are duplicative.
6. All matters complained of by Complainants pre-date October 6, 2014, and are therefore time-barred.
7. Complainants' claims are barred in whole or in part by the doctrines of waiver, estoppel and/or laches.
8. Complainants' claims are barred in whole or in part by reason of Complainants' ratification, agreement, or consent to the alleged conduct.

WHEREFORE Respondent Höegh Autoliners AS prays that the Complaint in this proceeding be dismissed with prejudice.

Respectfully submitted,



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Counsel for respondent Höegh Autoliners AS

DATED: October 9, 2018

VERIFICATION

Pursuant to 46 CFR § 502.62(b)(2), **MARIA HEMPEL**, upon her oath, hereby verifies as follows:

1. I serve as the General Counsel of Höegh Autoliners AS, and I am authorized to make this verification on its behalf.

2. I hereby verify that the facts contained in the foregoing answer and affirmative defenses are true and correct to the best of my knowledge, information, and belief.

3. I hereby further verify under penalty of perjury that the foregoing is true and correct.

DATED: October 9, 2018


Maria Hempel

CERTIFICATE OF SERVICE

I hereby certify that, on October 9, 2018, a true and correct copy of the foregoing answer to the verified complaint was filed electronically with the Secretary of the Federal Maritime Commission, and electronic copies thereof were sent to all lead/liaison counsel for parties identified in Docket 17-09.

DATED: October 9, 2018



Wayne Rohde